Teheran and in the countryside. They were not like the fanatics who orbited around Khomeini. It didn't surprise me when I was told that there were moderates in the government who wanted to oust the tyrannical theocracy imposed on them by Khomeini and his cohorts. Therefore, Israel's offer to act as an intermediary and help us open a channel to Iran's potential future leaders seemed very interesting.

There was another thing that made Bud's report exciting: The Israelis said that, to demonstrate their sincerity, the Iranian moderates who had made the overtures had offered to persuade the Hizballah terrorists to release our seven hostages. I don't recall feeling at the time that the Israeli government's proposal seemed earth-shattering. We'd already been through some disappointments and seen several promising covert efforts to free the hostages die stillborn because of the problems that always made the Middle East such a challenge. But I wanted to explore any avenue that offered the possibility of getting the hostages out of Lebanon. Okay, I said, we would send a team to Israel to confer with the Israelis who'd offered to act as intermediaries with the Iranian moderates.

And that's how the Iran-Contra affair got started.

After the talks began, the Israelis said the Iranians wanted us to permit Israel to sell a small number of TOW antitank missiles to the moderate Iranians; they said that this would enhance their prestige with the Iranians and demonstrate that they actually had connections with high officials of the United States government. (Until then, nothing had been said about weapons.)

Israel already had a large stock of TOW missiles in its military stockpile. The Israelis requested our permission to ship some of the missiles to the Iranian moderates; then the Iranians would pay for the missiles, and the United States would replenish Israel's stock of missiles—and be paid for